

PAYMENT PERFORMANCE AND MONETIZATION

Strategic analysis of monetization performance, acquisition stability, retention dynamics, and renewal engine optimization across global markets.

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Executive Dashboard: Payment Performance Audit

A comprehensive overview of key payment performance metrics, identifying critical opportunities for revenue recovery and growth.

~99%

Revenue concentrated in top 5 markets

Top Markets Revenue Share

USA: 87.39% | GBR: 5% | CAN: 3% | AUS: 2% | NGA: 1.61%

\$6.39

ARPU

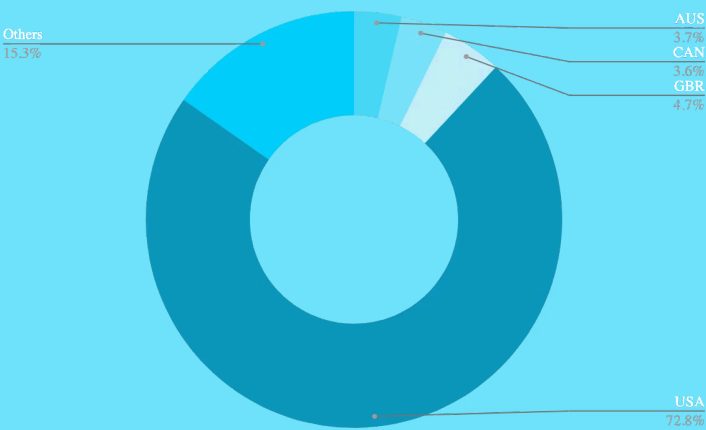
ARPPU: \$7.44 | Avg. Subscription check: \$19.77

Significant conversion gap in USA (\$6.37 ARPU vs \$7.44 ARPPU) indicates primary growth lever.

RETENTION & CONVERSION

User Base & Funnel Performance

Active Users



Conversion Gap: **54% loss** from Trial to Paid

Retention Index: **1.079** (Critical drop-off after Month 1). Max Loyalty: **7 months (USA)**

CHURN & TECHNICAL LEAKAGE

Revenue Loss Analysis

47% Strategic Churn: Ghost & Trial failures (product/marketing challenge)

21% Technical Leakage: 1,770 users lost to Renewal Failures (35-38% churn in AUS/CAN)

Success Rate:

36% on 1st attempt |

13% recovered via Retries 2-4 |

0.15% via Retry 5+

Top Global Revenue Killers: Priority Action Items

01

¹Expired Cards

3,600+ attempts (1,900+ users) are blocked by expired cards. Implement Tokenization for seamless updates.

02

²Bank Friction (Honor Issuer)

2,400+ attempts are declined due to issuer issues. Requires Smart Routing to alternative acquirers.

03

³Geo Restrictions

2,300+ attempts failed due to regional restrictions. Establish Local MIDs in affected territories.

Strategic Conclusion: Focus must shift to 'Recovery & Retention' in the USA. Converting the **75% non-paying US segment** is the most significant revenue opportunity without increasing marketing spend.

Revenue Capture

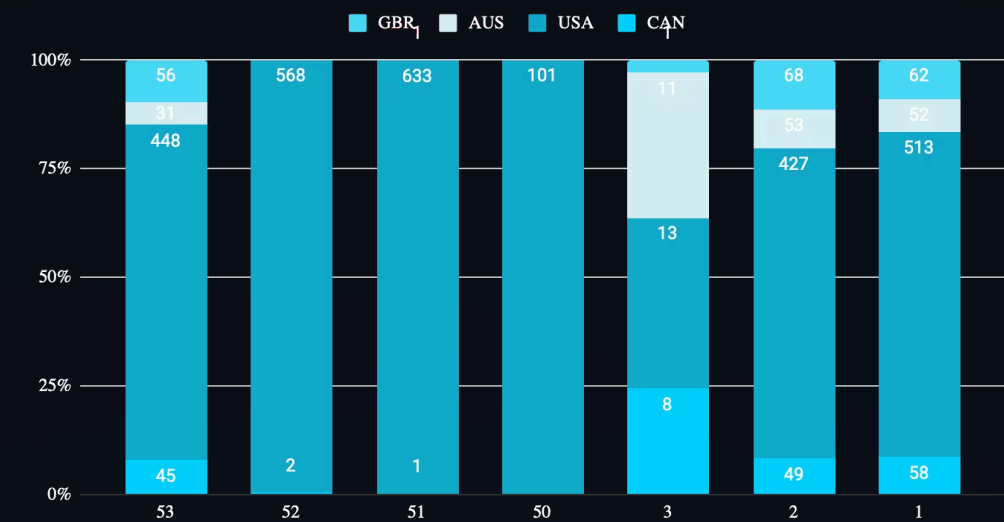
~99% of revenue is concentrated in USA, GBR, CAN, AUS, NGA. The ARPU gap in USA is the primary growth lever.

Category	Market(s)	Revenue Share	ARPU	ARPPU	Strategic Focus
Core Market	USA	87.39%	\$6,37	\$7.44	Bridge 75% Conversion Gap
High Potential	CAN, AUS, GBR	11.31%	\$7.07 – \$8,41	\$7.14 – \$9.41	Optimization. Audit 35–38% Renewal Failures
Recovery Route	NGA, UKR, KEN	0.6%	-\$2.84 – \$2	\$2 – \$2.50	Aggressive Cascading
Long Tail	Other 30+ countries	~1%	Highly Volatile	Variable	Passive monitoring. No active resource allocation.

❏ **Strategic Conclusion:** The primary revenue lever is the conversion of the US user base. With 7,328 total users but only 1,841 currently active (25% conversion), the **\$6.37 ARPU** reflects a massive "Leakage" in the payment funnel rather than low product demand. Solving the issue within the US market alone represents the most significant immediate growth opportunity without additional acquisition costs.

Acquisition Trends

Metric	Observation	Business Impact
Peak Season	5-week plateau (600+ users/week)	Maximum load on processing infrastructure
System Outage	95% drop in W03-2021	Significant drop observed due to partial data logs (only 10h recorded in raw data).
Market Concentration	~83% USA traffic dependency	High vulnerability to US-specific payment regulations & mid-burns
NGA Spike	Week 53 localized spike	25 users detected – monitor for trend



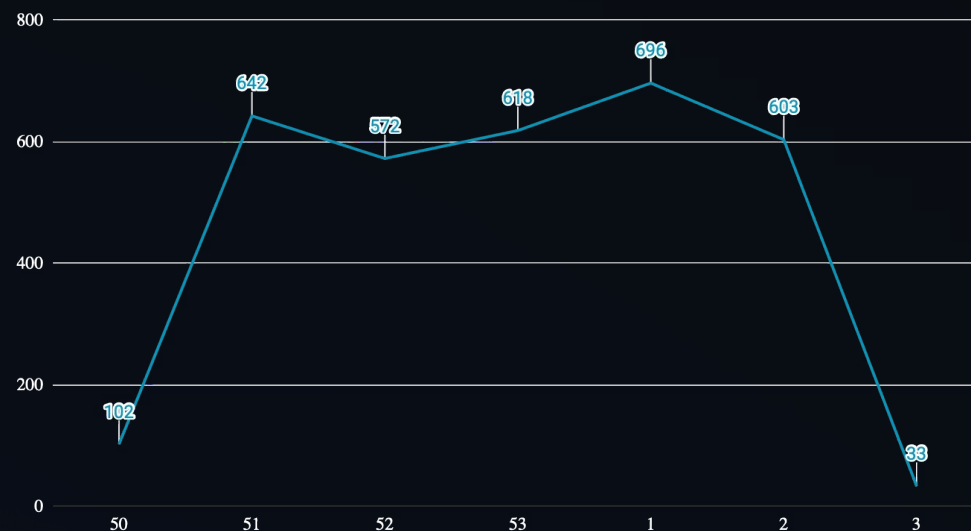
Perform data backfilling for W03 to restore full visibility. Investigate API logs to ensure no underlying gateway failures occurred

Diversification
Increase marketing & payment substance in CAN/AUS to reduce 83% single-market dependency.

Capacity Planning

Pre-approve MID limits for future peaks based on W01-2021 data.

Weekly Total New Subscribers



Retention & Churn: From One-Time Sales to Subscription Revenue

Average retention is 1.08 months. Most users exit after the first billing cycle — a high Trial-to-Churn rate. Yet the USA demonstrates Max Loyalty of 7 cycles, proving long-term retention is achievable.

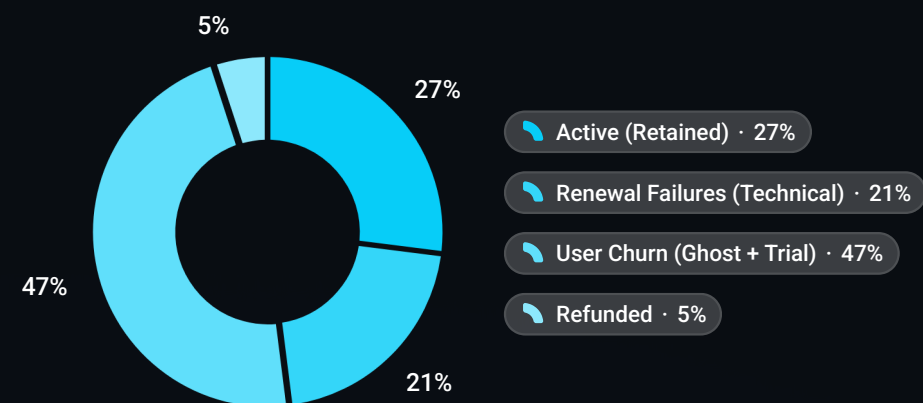


Retention by Market Tier

Category	Market(s)	Total Users	Avg. Retention Index	Max Loyalty (Cycles)	Strategic Insight
Core Market	USA	3,251	1.089	7	Highest maturity. Deep loyalty proven. Needs proactive retention.
High Potential	GBR, CAN, AUS	562	1.031	4	Medium maturity. Fix technical churn to extend LTV.
Recovery Route	NGA, UKR, MEX, KEN	47	1.007	2	Early stage. Push to Cycle 2 via price localization.
Long Tail	Other 26 countries	31	1.032*	1–2	Fragmented. EGY index (2.0) is anomaly — low sample size.
Total	—	3,891	1.079	—	Business model is currently Transactional, not Recurrent in most regions.

❏ In 90% of regions (e.g., FRA, BRA, ARE), Cancel Rate is effectively 100% after Month 1. Focus: Technical Recovery in Tier-1, not fragmented analysis of low-volume Tier-2/3 markets.

Subscription Status & Churn Segmentation



47% User Churn

Ghost + Trial Failures — largest segment, but a product/marketing challenge, not infrastructure.

21% Technical Leak

1,770 users lost to Renewal Failures.
AUS & CAN: 35–38% technical churn.
USA: 1,465 users lost to renewal issues.

27% Active Base

2,227 users retained. Refund rate healthy at 5% — no major product satisfaction issues.

📋 **Recovery Target:** Recovering 50% of technical failures in USA & GBR would increase the global active paying base by ~30% with zero additional CAC.

Optimizing the Renewal Engine: Recovery vs. Efficiency

Retry	Declined	Refunded	Settled	Total Users	Total Amount
1	2,636	222	1,479	4,337	\$85,940
2	2,152	26	327	2,505	\$49,760
3	1,493	12	137	1,642	\$32,720
4	876	8	74	958	\$16,990
5	127	6	—	133	\$2,660
Total	7,284	268	2,023	9,575	\$188,070



³Action 1: Cease Attempt #5

Remove 5th retry. Reduces gateway overhead and improves merchant standing with acquirers.

⁴Action 2: Attempt #1 Investigation

Analyze why 64% of users fail their first charge — this is the highest-impact diagnostic priority.

Strategic Priorities at a Glance



Close ARPU–ARPPU Gap in USA

Bridge 75% Conversion Gap.



Fix the Technical Leak

21% of renewal failures are recoverable infrastructure wins. Audit decline codes in USA, CAN, GBR, AUS immediately.



Reduce Market Concentration

87% USA dependency is a systemic risk. Invest in CAN/AUS/GBR payment substance and marketing.



Optimize Retry Engine

Cease Attempt #5. Investigate Attempt #1 failure rate (64%). Protect merchant standing from chargeback risk.



Root Cause Analysis: Top Payment Declines

Top Global Revenue Killers

Rank	Issue (Decline Codes)	Attempts	Unique Users	Business Insight
#1	Expired Card (4.04, 4.05)	3,600+	1,900+	Critical Churn. Loyal users lost due to card expiry. Needs Tokenization.
#2	Honor Issuer (3.07, 3.08)	2,400+	1,120+	Bank Friction. Suspected fraud. Needs Smart Routing/3DS.
#3	Geo Restriction (3.02)	2,300+	1,100+	Border Block. Needs Local MIDs.
#4	Insufficient Funds (3.01)	800+	340+	Liquidity Issue. Most addressable in USA via Payday Billing.
#5	Limit Exceeded (3.03, 3.04)	750+	450+	High Recovery. Potential for Downsell offers.
#6	Gateway Failures (5.01, 5.08, 0.01, 0.02)	600+	500+	Tech Instability. Requires Failover & Cascading logic.
#7	Restricted Card (2.11, 2.15)	500+	340+	User Block. Corporate/Prepaid cards. Checkout filtering.
#8	Stolen Card (4.02, 4.03)	450+	340+	Risk Control. Immediate blacklist to save Merchant Score.

Regional Deep Dive: Top 3 Problems per Country

Where we are losing the most money locally (Transaction Volume / Unique Users)

Country	#1 Problem	#2 Problem	#3 Problem
USA	4.05, 4.04 (Expired Card) 3.5k trans / 1860+ users	3.08, 3.07 (Honor Issuer) 2.3k trans / 1050 users	3.02 (Geo Restriction) 1.9k trans / 916 users
GBR	3.02 (Geo Restriction) 114 trans / 49 users	4.05 (Expired Card) 84 trans / 52 users	3.08 (Honor Issuer) 81 trans / 32 users
AUS	3.02 (Geo Restriction) 72 trans / 40 users	3.08 (Honor Issuer) 24 trans / 15 users	3.04 (Exceeded limit) 20 trans / 14 users
CAN	3.02 (Geo Restriction) 82 trans / 46 users	4.05, 4.04 (Expired Card) 44 trans / 21 users	3.1, 2.08 (Merchant Errors) 30 trans / 22 users
NGA	3.02 (Geo Restriction) 103 trans / 38 users	4.02, 4.03 (Stolen/Lost Card) 38 trans / 21 users	3.08, 3.07 (Honor Issuer) 20 trans / 12 users
UKR	4.05 (Expired Card) 12 trans / 7 users	3.02 (Geo Restriction) 2 trans / 1 user	—

Key Findings: Global Payment Performance Audit

The Technical Churn Epidemic

Over 3,600 decline events (1,900+ unique users) are caused by Expired Cards. This is pure revenue leakage from loyal users that can be recovered via Network Tokenization.

The "Border Block" Paradox

Geo-Restriction (3.02) is the primary growth barrier in GBR, AUS, CAN, and NGA, affecting 1,100+ unique users. Without Local Acquiring we are hitting a hard ceiling in these markets.

High-Value Recovery Potential

1,120 unique users were blocked by Honor Issuer, and 450+ users hit Limit Exceeded. These high-intent customers can be rescued via Smart Routing and Downsell offers.

Systemic Instability

The clustering of Gateway Failures (600+ attempts) highlights a critical need for Failover & Cascading logic to ensure 100% uptime.

📌 **Strategic Conclusion:** Our payment infrastructure is currently optimized for 'processing' rather than 'recovery.' By addressing technical churn (Tokenization) and localized friction (Local MIDs), we have a confirmed potential to rescue 3,000+ unique customers and increase Attempt #1 success rate to >60%.

Strategic Roadmap: Optimal Routing & Acquiring

Implementing targeted strategies to enhance payment success rates and expand our global reach.



Global Local Acquiring

Tackle Code 3.02 (Geographic Restriction), the #1 barrier in USA (priority 1) GBR, AUS, CAN, NGA, by transitioning to **local MIDs** to recover ~1,100+ unique users.



Technical Churn Audit

Roll out **Network Tokenization** globally for 1,950+ Expired Cards (4.04/4.05) and implement **Smart Routing & 3DS Optimization** for 1,120+ Honor Issuer (3.08/3.07) cases.



Canada Merchant Audit

Address Top-3 Canadian problems (Codes 3.1 & 2.08) with an immediate **technical audit of MID configurations** to ensure whitelisting by local issuers.

Target Payment Routing Map

Strategic deployment of routing types across markets to maximize LTV and recovery.

Route Type	Markets (Tiers)	Logic & Strategy
Direct (First priority)	USA	Local MID + Tokenization. Smart Routing and 3DS optimization.
Direct (Max LTV)	GBR, CAN, AUS	Local MID + Tokenization. Focus on Geo-Restricted users. Tokenization for preventative churn & recovery via Account Updater.
Local Growth	NGA	Local MID Deployment to eliminate Code 3.02, rescuing 38+ unique users and stabilizing the segment.
High-ARPU Insight	COL, PRT, LKA, BHS, BRA, ESP, IMN, JPN, MLI, QAT, CUW	Investigate ARPU anomalies (40-20 USD) to identify scaling opportunities for growth.
Recovery	GBR, AUS, NGA	Smart Failover to rescue Honor Issuer (3.08, 3.07) cases through secondary gateway routing.
Risk & Hygiene	Globally	Immediately block Stolen/Lost Card (4.02, 4.03) attempts to protect Merchant Health Score.

Billing Efficiency & LTV Maximization

Implementing advanced strategies to enhance payment success rates, reduce churn, and maximize customer lifetime value.

Optimize First-Charge Success

64% of users fail their first charge. Investigate technical latency and pre-authorization triggers to prevent this significant initial drop-off.

Refine Retry Logic

Audit the retry funnel to minimize 268 observed refunds and prevent "friendly fraud" or notification complaints from overly aggressive billing cycles. Decommission Attempt #5 (4.5% success).

Localize Billing & Pricing

Sync USA billing with bi-weekly pay cycles for Insufficient Funds (338 users) and Limit Exceeded (400+ users). For Ukraine (UKR), test localized pricing to improve success of ARPU.

Proactive Churn Intervention

Prioritize technical recovery in markets with >30% renewal failure. For Tier-1, implement Downsell/Extension offers post-decline. Address USA "ghost churn" with Day 3 trial intervention (SMS/Push for one-time extension).

Strategic LTV Growth Initiatives

Elevating long-term customer value through technical and regional optimizations.



Convert "One-Off" to Subscription

Deploy Local MIDs in GBR/CAN/AUS to shift Retention Index from 1.000 to 1.6+ within Q1.



Extend LTV Ceiling in USA

Implement Network Tokenization and Account Updater to increase Max Loyalty from 7 to 10 cycles, boosting LTV by ~40%.



Pre-approve MID Limits

Based on W01-2021 data and NGA's Week 53 spike, ensure MID limits are pre-approved for future traffic peaks.

Practical Implementation & Strategic Hypotheses

Our targeted approach to payment optimization includes a series of hypotheses designed to maximize revenue capture and customer retention.

Hypothesis #1: The Downsell Effect on Retention

Concept: Addressing price sensitivity, a confirmed barrier, by offering a \$10 "Save Offer" during the cancellation flow or after "Limit Exceeded" declines will preserve LTV for 405 unique USA users.

Validation: Conduct a 50/50 A/B test in the USA market.

KPI: Convert at least 20% of these users into the \$10 plan, reducing immediate churn by ~80+ unique subscribers per period.

Hypothesis #3: Ukraine ARPU Stabilization

Concept: The negative ARPU (-\$2.84) is a reporting anomaly caused by a high concentration of **Expired Cards** and unresolved chargebacks within a very small user base (n=44).

Validation Strategy:

- **Direct Dunning & Recovery:** Implement a targeted email/push notification flow specifically for users with "Expired Card" declines, prompting them to update billing details manually.
- **Data Normalization Audit:** Investigate the specific transactions driving the negative balance to ensure refunds aren't being double-counted against failed renewals in this segment.
- **Churn Monitoring:** Assess if these 44 users are legacy "ghost" accounts that should be offboarded to stop the negative revenue drag.

KPI:

- Return ARPU to \$0.00 or positive.
- Clean up "Ghost Revenue" impact on the global report.

Hypothesis #5: The W03 Infrastructure Resilience

Concept: The W03 collapse highlighted systemic failure. Implementing MID Rotation and automated Health-Check Triggers will ensure platform stability.

Validation: Conduct a technical audit of 30 Merchant Account Errors (3.1) in W03 to identify root causes.

KPI: Zero "Zero-Traffic" hours due to gateway blocks and 100% failover uptime.

Hypothesis #7: Mitigating "Honor Issuer" Friction (Global Strategy)

Observation: Over 1,120 users globally (1,050 in the USA) are blocked due to Bank Friction (3.07/3.08). This is the **#2 Revenue Killer** in our system.

Action Plan:

1. **USA Priority:** Deploy **Local US Acquiring** to resolve "cross-border" suspicion.
2. **Global Recovery:** Implement **Smart 3DS Fallback** — if a silent renewal fails with code 3.08, 3.07, automatically trigger a user-facing authentication request.
3. **Cascade Billing:** If a transaction is flagged by one gateway, automatically re-route it to a secondary provider to bypass issuer-specific blocks.

KPI:

- **USA:** Recover **\$12,000 - \$15,000** in ARR.
- **Global:** Incremental lift of **\$2,000 - \$3,000** from GBR, AUS, NGA segments.
- **Success Metric:** Overall reduction in 3.08, 3.07 declines by **15%–20%**.

Hypothesis #2: Local MID Impact (The "Border-Free" Growth)

Concept: 1,120+ unique users are blocked by **Code 3.02 (Geographic Restriction)**. This is a classic "Border Block" where local banks reject foreign processing. Transitioning to **Local Acquiring (Local MIDs)** will eliminate this friction.

Tiered Execution:

- **Priority 1 (USA):** 916 unique users | **\$18,100+** potential revenue.
- **Priority 2 (Tier-1: GBR, CAN, AUS):** 135 unique users | **\$2,600+** potential revenue.
- **Priority 3 (NGA):** 38 unique users | Market-specific local gateway test.

Validation Strategy:

1. **USA Local MID:** Route all US traffic through a domestic acquirer to treat transactions as "In-Country."
2. **Tier-1 Cascading:** Deploy local acquiring for GBR, CAN, and AUS to remove cross-border flagging.
3. **Success Monitoring:** Track the 7-week recovery window to ensure Code 3.02 is completely eliminated.

KPIs:

- **Total Elimination of Code 3.02** in targeted regions.
- **Uplift in Attempt #1 Success Rate:** From 36% to **>60%**.
- **Total Revenue Recovery:** **\$22,000+** in rescued ARR (Annual Recurring Revenue).

Hypothesis #4: Network Tokenization & Multi-Tier Recovery

Concept: The USA and Tier-1 markets (GBR, CAN, AUS) suffer from massive leakage due to **Expired Cards**. We will implement a tiered recovery strategy based on user volume and revenue potential.

Tiered Focus:

- **Priority 1 (USA):** 1,864 unique users | **\$37k+** potential revenue.
- **Priority 2 (GBR & CAN):** 72 unique users | **~\$1.4k** potential revenue.
- **Priority 3 (AUS):** 8 unique users | Monitoring & baseline recovery.

Validation Strategy:

1. **Infrastructure (Passive):** Enable **Account Updater** services (Visa/Mastercard) to automatically refresh card data for current active users across all Tier-1 markets.
2. **Engagement (Active):** * **P1 & P2 Focus:** Targeted Dunning Campaign (3-step Push/Email flow) with a 1-click update link for the blocked backlog in USA, GBR, and CAN.
 - **Grace Period:** Implement a 3-day window where users keep access while the system attempts background token updates.

KPIs:

- **Immediate Recovery (USA):** Rescue 20-30% of the backlog (**\$7,500 - \$11,000**).
- **Tier-2 Lift (GBR/CAN):** Recover **~\$400-\$500** from the immediate backlog.
- **Future Prevention:** Reduce Code 4.05 (Expired Card) frequency by **50%** globally.
- **Total Strategic Impact:** **\$20,000+** in rescued Annual Recurring Revenue (ARR).

Hypothesis #6: Micro-Cycle Continuity (Liquidity Bridge)

Concept: For users hitting "Insufficient Funds" (3.01), offering a Weekly "Pay-as-you-go" plan (\$4.99/week) instead of monthly/annual rebills can bypass the \$20-30 "Liquidity Wall," addressing cash flow timing for 743 USA users.

Validation: Introduce the weekly plan for the "Insufficient Funds" cohort.

KPI: 15% improvement in Trial-to-Payer conversion for this cohort.

Additional Data & Segments for Deep-Dive Analysis

To move beyond identifying payment issues towards actively solving them, we need to enrich our understanding with critical user context and segment data.

I. Data Gaps: What We Still Need to Capture

Marketing Attribution (UTM/Source)

Crucial for calculating ROAS versus LTV. This helps distinguish between "disposable" traffic (prone to high "Ghost" rates) and loyal cohorts (showing high ARPPU).

Cancellation Surveys

Essential for understanding the "Why" behind users churn in paid subscription. This data helps us differentiate between price sensitivity, UX friction, and underlying bugs.

Card Type Analytics (Debit/Credit/Prepaid)

Utilizing BIN lookup to identify card types. High churn often correlates with Prepaid/Virtual cards; restricting these during trial sign-ups can significantly reduce "Ghost" churn.

II. Priority Segments for Advanced Analysis

Issuing Bank Performance

Objective: Analyze approval ratios by bank (e.g., Chase vs. Wells Fargo).

Goal: Test alternative Statement Descriptors or route transactions through different merchant accounts if a specific bank consistently rejects recurring charges.

"IP Country" vs. "Issuing Bank Country" Mismatch

Objective: Detect users paying with a bank card from one region (e.g., Nigeria) while using an IP from another (e.g., France).

Goal: Identify arbitrage or fraud patterns to eliminate "noise" registrations that artificially inflate churn rates.

Trial-to-Payer Conversion Funnel

Objective: Analyze the behavior of users churn after trial.

Goal: Determine the exact moment during the trial when a user becomes a "Ghost" to maximize retention.

Statement Descriptor Impact

Objective: Test how transaction and product texts affects chargeback rates.

Goal: Minimize "friendly fraud" where users dispute charges they don't recognize.